

Senate File 2278 - Introduced

SENATE FILE 2278

BY WAHLS

A BILL FOR

1 An Act prohibiting personalized algorithmic pricing and
2 surveillance pricing at certain food retail establishments,
3 and providing civil penalties.
4 BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF IOWA:

1 Section 1. NEW SECTION. 554J.1 Definitions.

2 For purposes of this chapter:

3 1. *"Algorithm"* means a computational process that uses
4 a set of rules to define a sequence of operation including
5 but not limited to artificial intelligence systems and
6 facial-recognition software.

7 2. *"Clear and conspicuous disclosure"* means a disclosure
8 in the same medium as, and provided on, at, or near and
9 contemporaneous with every advertisement, display, image,
10 offer, or announcement of a price for which notice is required,
11 using lettering and wording that are easily visible and
12 understandable to the average consumer.

13 3. *"Consumer"* means a person who is seeking or solicited
14 to purchase, lease, or receive a good or service, not for
15 resale in the ordinary course of the natural person's trade or
16 business, but for personal, family, or household use.

17 4. *"Consumer data"* means any data that identifies or could
18 reasonably be linked, directly or indirectly, with a specific
19 natural person or device, excluding location data.

20 5. *"Dynamic and surveillance pricing"* means pricing that
21 fluctuates dependent on conditions where algorithmic or
22 artificial intelligence models retrain or recalibrate on
23 information in near real-time, excluding promotional pricing
24 offers, loyalty program benefits, or other temporary discounts
25 or changes to pricing related to retention of existing
26 customers.

27 6. *"Electronic shelving labels"* means electronic and
28 wireless paper displays that present product and pricing
29 information.

30 7. *"Food retail establishment"* means a retail store that is
31 described by any of the following:

32 a. The retail store is described by all of the following:

33 (1) The retail store is over fifteen thousand square feet
34 in size.

35 (2) The retail store primarily sells household foodstuff

1 for off-site consumption, including but not limited to fresh
2 produce, meats, poultry, fish, deli products, dairy products,
3 canned foods, dry foods, beverages, baked foods, or prepared
4 foods.

5 (3) Other household supplies or products are considered
6 secondary to the retail store's primary purpose of food sales.

7 b. The retail store is described by all of the following:

8 (1) The retail store is over eighty-five thousand square
9 feet.

10 (2) At least ten percent of the retail store's sales
11 floor area is dedicated to the sale of nontaxable merchandise
12 including but not limited to the sale of fresh produce, meats,
13 poultry, fish, deli products, dairy products, canned foods, dry
14 foods, beverages, baked foods, or prepared foods.

15 8. a. *"Nondigital presentation of price"* means any of the
16 following:

17 (1) A sign which offers the unit price for one or more
18 brands or sizes of a given commodity.

19 (2) A sticker, stamp, sign, label, or tag, affixed to the
20 shelf upon which a commodity is displayed.

21 (3) A sticker, stamp, sign, label, or tag, affixed to a
22 commodity itself.

23 b. If a single sign or tag does not provide the unit
24 price information for more than one brand or size of a given
25 commodity, then all of the following information shall be
26 provided:

27 (1) The identity of the commodity.

28 (2) The brand name.

29 (3) The quantity of the packaged commodity if more than one
30 package size per brand is displayed.

31 (4) The total sale price.

32 (5) The price per appropriate unit.

33 c. Where a sign providing unit price information for one
34 or more sizes or brands of a given commodity is used, the
35 sign shall be located centrally as close as practical to all

1 items to which the sign refers, and the unit price information
2 displayed on the sign shall be presented in a clear, distinct,
3 and nondeceptive manner.

4 9. "*Person*" means any human being or individual.

5 10. "*Personalized algorithmic pricing*" means dynamic pricing
6 and surveillance pricing derived from or set by an algorithm
7 that uses consumer data which may vary among consumers, groups
8 of consumers, or both.

9 11. "*Protected class data*" means information about an
10 individual person or groups of people that directly, in
11 combination, or by implication identifies a characteristic
12 that is legally protected from discrimination under the
13 laws of this state or under federal law, including but not
14 limited to ethnicity, national origin, age, disability, sex,
15 sexual orientation, gender identity and expression, pregnancy
16 outcomes, and reproductive health care.

17 12. *a. "Surveillance pricing"* means offering or setting
18 a customized price for a good or service for a specific
19 consumer or group of consumers, based, in whole or in part, on
20 covered information collected through electronic surveillance
21 technology.

22 *b. "Surveillance pricing"* includes the use of technological
23 methods, systems, or tools, including but not limited to
24 sensors, cameras, device tracking, biometric monitoring, or
25 other forms of observation or data collection, that are capable
26 of gathering covered information about a consumer's behavior,
27 characteristics, location, or other personal attributes,
28 whether in physical or digital environments.

29 Sec. 2. NEW SECTION. 554J.2 Prohibition against predatory
30 pricing.

31 1. A food retail establishment that knowingly advertises,
32 promotes, labels, or publishes a statement, display, image,
33 offer, or announcement that uses personalized algorithmic
34 pricing using consumer data specific to a particular consumer
35 is required to provide a clear and conspicuous disclosure to

1 consumers that reads as follows:

2 THIS PRICE WAS SET BY AN ALGORITHM USING YOUR PERSONAL DATA.

3 2. A food retail establishment shall not use electronic
4 shelving labels or any digital shelf display technology and
5 instead shall use a nondigital presentation of price. This
6 prohibition does not limit any food retail establishment or any
7 business from providing consumers, based on previous purchase
8 history, a discount, promotional price, or loyalty program
9 benefit.

10 3. A food retail establishment shall not use electronic
11 shelving labels or any digital shelf display technology to
12 display personalized algorithmic pricing or surveillance
13 pricing.

14 4. A food retail establishment shall not collect data
15 belonging to minors under seventeen years of age and shall
16 not use such data for targeted advertising or personalized
17 algorithmic pricing.

18 5. A food retail establishment shall not use protected class
19 data in setting a price for, offering, marketing, or selling
20 any good or service if any of the following are true:

21 a. The use of that data has the effect of withholding or
22 denying any of the accommodations, advantages, or privileges
23 afforded to others.

24 b. The price for such good or service is different from the
25 price offered to other individuals or groups based in whole or
26 in part on the use of protected class data.

27 6. This section shall not apply to financial services,
28 including but not limited to financial institutions, financial
29 institution affiliates, broker-dealers, registered investment
30 advisors, and entities that provide consumer credit products
31 such as credit cards, personal loans, and mortgages.

32 7. This section shall not apply to any insurer licensed,
33 regulated, or otherwise authorized to do business in this
34 state, including any persons, agents, or affiliates acting on
35 behalf of such insurer.

1 Sec. 3. NEW SECTION. 554J.3 Enforcement and penalties.

2 1. The attorney general shall bring an action in a court
3 of competent jurisdiction against a food retail establishment
4 believed to be in violation of this chapter.

5 2. a. The attorney general may seek an injunction against
6 a food retail establishment believed to be in violation of
7 this chapter five calendar days after serving the food retail
8 establishment notice of initiating an action under this
9 chapter.

10 b. A court may issue an injunction to enjoin and restrain a
11 food retail establishment from committing further violations of
12 this chapter without requiring proof that any person has been
13 injured or damaged.

14 3. If a court determines that a food retail establishment
15 has violated this chapter, the court may impose a civil penalty
16 of not more than seven thousand five hundred dollars for each
17 violation. Civil penalties collected under this section shall
18 be deposited into the general fund of the state.

19 4. In addition to any other remedies provided in this
20 chapter, any person aggrieved by a violation of this chapter
21 is entitled to bring an action in a court of competent
22 jurisdiction.

23 5. This section shall not in any way limit rights or
24 remedies which are otherwise available under law to the
25 attorney general or any other person authorized to bring an
26 action under this chapter.

27 Sec. 4. NEW SECTION. 554J.4 Interpretation.

28 This chapter shall be liberally construed to effectuate
29 its purposes. Courts shall interpret the provisions of this
30 chapter in order to preserve the maximum lawful effect of this
31 chapter.

32 EXPLANATION

33 The inclusion of this explanation does not constitute agreement with
34 the explanation's substance by the members of the general assembly.

35 This bill prohibits personalized algorithmic pricing and

1 surveillance pricing at certain food retail establishments
2 (establishment).

3 The bill defines "dynamic and surveillance pricing"
4 as pricing that fluctuates dependent on conditions where
5 algorithmic or artificial intelligence models retrain or
6 recalibrate on information in near real-time, excluding
7 promotional pricing offers, loyalty program benefits, or other
8 temporary discounts or changes to pricing related to retention
9 of existing customers.

10 The bill defines "electronic shelving labels" as electronic
11 and wireless paper displays that present product and pricing
12 information.

13 The bill defines "food retail establishment" as a retail
14 store that either is over 15,000 square feet in size, primarily
15 sells household foodstuff for off-site consumption, and the
16 sale of other household supplies or products are considered
17 secondary to the retail store's primary purpose of food sales;
18 or the retail store is over 85,000 square feet, and at least 10
19 percent of the retail store's sales floor area is dedicated to
20 the sale of nontaxable merchandise as detailed in the bill.

21 The bill defines "nondigital presentation of price" as a
22 sign which offers the unit price for one or more brands or
23 sizes of a given commodity; a sticker, stamp, sign, label, or
24 tag, affixed to the shelf upon which a commodity is displayed;
25 a sticker, stamp, sign, label, or tag, affixed to a consumer
26 commodity itself. If a single sign or tag does not provide the
27 unit price information for more than one brand or size of a
28 given commodity, then the identity of the commodity, the brand
29 name, the quantity of the packaged commodity if more than one
30 package size per brand is displayed, the total sale price, and
31 the price per appropriate unit shall be provided. Where a
32 sign providing unit price information for one or more sizes or
33 brands of a given commodity is used, the sign shall be located
34 centrally as close as practical to all items to which the sign
35 refers, and the unit price information displayed on the sign

1 shall be presented in a clear, distinct, and nondeceptive
2 manner.

3 The bill defines "personalized algorithmic pricing" as
4 dynamic pricing and surveillance pricing derived from or set
5 by an algorithm that uses consumer data which may vary among
6 consumers, groups of consumers, or both.

7 The bill defines "protected class data" as information about
8 an individual person or groups of people that directly, in
9 combination, or by implication identifies a characteristic
10 that is legally protected from discrimination under the
11 laws of this state or under federal law, including but not
12 limited to ethnicity, national origin, age, disability, sex,
13 sexual orientation, gender identity and expression, pregnancy
14 outcomes, and reproductive health care.

15 The bill defines "surveillance pricing" as offering or
16 setting a customized price for a good or service for a specific
17 consumer or group of consumers, based, in whole or in part, on
18 covered information collected through electronic surveillance
19 technology. The bill details methods, systems, and tools
20 included within the meaning of "surveillance pricing".

21 The bill also defines "algorithm", "clear and conspicuous
22 disclosure", "consumer", "consumer data", and "person".

23 The bill requires an establishment that knowingly
24 advertises, promotes, labels, or publishes a statement,
25 display, image, offer, or announcement that uses personalized
26 algorithmic pricing using consumer data specific to a
27 particular consumer to provide a clear and conspicuous
28 disclosure that reads: THIS PRICE WAS SET BY AN ALGORITHM
29 USING YOUR PERSONAL DATA.

30 The bill prohibits an establishment from using electronic
31 shelving labels (ESL) or any digital shelf display technology
32 and instead shall use a nondigital presentation of price. This
33 prohibition does not limit any establishment or any business
34 from providing consumers, based on previous purchase history, a
35 discount, promotional price, or loyalty program benefit.

1 The bill prohibits an establishment from using ESLs or
2 any digital shelf display technology to display personalized
3 algorithmic pricing or surveillance pricing.

4 The bill prohibits an establishment from collecting data
5 belonging to minors under 17 years of age and from using such
6 data for targeted advertising or personalized algorithmic
7 pricing.

8 The bill prohibits an establishment from using protected
9 class data in setting a price for, offering, marketing, or
10 selling any good or service if the use of that data has the
11 effect of withholding or denying any of the accommodations,
12 advantages, or privileges afforded to others; or the price for
13 such good or service is different from the price offered to
14 other individuals or groups based in whole or in part on the
15 use of protected class data.

16 The bill does not apply to financial services, including but
17 not limited to financial institutions, financial institution
18 affiliates, broker-dealers, registered investment advisors, and
19 entities that provide consumer credit products such as credit
20 cards, personal loans, and mortgages.

21 The bill does not apply to any insurer licensed, regulated,
22 or otherwise authorized to do business in this state, including
23 any persons, agents, or affiliates acting on behalf of such
24 insurer.

25 The bill requires the attorney general to bring an action
26 in a court of competent jurisdiction against an establishment
27 believed to be in violation of the bill.

28 The bill allows the attorney general to seek an injunction
29 against an establishment believed to be in violation of the
30 bill five calendar days after serving the establishment notice
31 of initiating an action under the bill. A court may issue
32 an injunction to enjoin and restrain an establishment from
33 committing further violations of the provisions of the bill
34 without requiring proof that any person has been injured or
35 damaged.

1 The bill allows a court that determines that an
2 establishment has violated the bill to impose a civil penalty
3 of not more than \$7,500 for each violation. Civil penalties
4 collected under the bill shall be deposited into the general
5 fund of the state. In addition to any other remedies, any
6 person aggrieved by a violation of the bill is entitled to
7 bring an action in a court of competent jurisdiction.

8 The bill shall not in any way limit rights or remedies which
9 are otherwise available under law to the attorney general or
10 any other person authorized to bring an action under the bill.

11 The bill shall be liberally construed to effectuate its
12 purposes. Courts shall interpret the bill's provisions in
13 order to preserve the bill's maximum lawful effect.